

Banking

Industry Size

- Bank credit: Rs. 208.4 lakh cr (US\$ 2,295 bn), Feb 2026
- Deposits: Rs. 257.2 lakh cr (US\$ 2,833 bn), Feb 2026
- Sector assets FY25 — PSBs US\$ 2,006 bn; private US\$ 1,355 bn
- 5th-largest banking sector globally; 3rd-largest projected by 2050
- Non-food credit: Rs. 206.7 lakh cr (US\$ 2,277 bn)

Industry Growth

- Bank credit CAGR 4.6% (FY16–FY26); deposits CAGR 9.44% over the same period
- Outstanding credit crossed Rs. 200 lakh cr (US\$ 2.27 trn) in Dec 2025, growing 14.5% YoY on auto, home and MSME demand
- Digital lending US\$ 350 bn (2023) → US\$ 720 bn by 2030; ~60% of India's fintech market by 2030
- Fintech industry US\$ 110 bn (2024) → US\$ 420 bn (2029)
- UPI, Feb 2026: 20.39 bn transactions worth Rs. 26.84 lakh cr (US\$ 295.7 bn) across 694 banks
- Housing credit US\$ 364.1 bn and personal finance ex-housing US\$ 384.6 bn (Feb 2026)

Key players

PSU



Private



SFB



Business Model and Industry Product Mix

Business model — spread plus fee

- Mobilise low-cost deposits (CASA ~38–40% at large banks) and lend at a spread; sector NIM ~2.9% (FY26E)
- Income mix: net interest income dominates; 'other income' (fees, cards, treasury, third-party distribution) adds ~13–15%
- FY25 interest income — PSBs US\$ 139.1 bn; private US\$ 106.5 bn
- FY25 other income — PSBs US\$ 20.6 bn; private US\$ 18.3 bn
- Regulatory pre-emption: CRR 4.50% + SLR 18% of deposits must sit with RBI / in G-Secs

Product mix

- **Retail** — housing Rs. 33.1 lakh cr (US\$ 364.1 bn); personal ex-housing Rs. 34.9 lakh cr (US\$ 384.6 bn); auto AUM Rs. 8.1 lakh cr, +18% YoY
- **Corporate & MSME** — working capital, term loans, infrastructure (NaBFID target ~Rs. 1 lakh cr by 2030)
- **Priority sector** — agri via Kisan Credit Card; MSME via Mudra (57.26 cr loans, Rs. 39.48 lakh cr sanctioned)
- **Financial inclusion** — PMJDY 57.78 cr accounts holding Rs. 2.95 lakh cr (US\$ 32.5 bn)
- **Payments & transaction banking** — UPI, IMPS, NEFT, RTGS, cards

Banking

Value Chain

Raw Material

Consist of financial resources
– loans, deposits, capital to
fund its operations and
provide

Suppliers

Investors for Capital, Funds by
depositors

Logistics

Includes the processes of loan
underwriting, and servicing,
as well as managing deposits
and other sources of funding

Distribution

Includes bank accounts,
transaction processing,
providing investment advice.

Customers

Individual, Companies,
Business, Govt as well

Porter's 5 Forces

Threat of New Entrants **Low**

- RBI licensing is highly restrictive — only 11 SFBs and a handful of new licences in a decade
- CRR 4.5% + SLR 18%, capital adequacy and priority-sector obligations raise the entry bar
- Payments banks are barred from lending

Bargaining Power of Buyers **High**

- Repo-linked retail loans make pricing fully transparent and comparable
- UPI and portable KYC cut switching costs to near zero
- Corporates can bypass banks via bonds and private credit (US\$ 6.77 bn raised over 230+ deals)

Bargaining Power of Suppliers **Medium**

- Depositors are the key supplier of funds; deposit competition is intense
- Credit growth outpacing deposits has pushed the CD ratio to ~83%
- Rising reliance on costlier bulk deposits and CDs lifts depositor leverage

Threat of Substitutes **High**

- NBFCs and fintech lenders serve most of the US\$ 350 bn digital lending market
- Household savings shifting to mutual funds and equities
- Wallets and UPI displace traditional fee-based payment income

Industry Rivalry **High**

- 12 PSBs, 21 private, 44 foreign and 11 SFBs chase the same deposit pool
- NIMs compressed after 125 bps of repo cuts in 2025
- Private CD ratio 87.9% vs PSB 75.7% — aggressive private lending

Valuation

1. Analyze Bank-Specific Financials. (Focus on unique ratios)
2. Forecast Key Income Drivers. (Net interest income, fees)
3. Apply Dividend Discount Model. (Stable dividends often suited)
4. Use Residual Income Model. (Better for volatile earnings)
5. Compare to Peer Banks. (Relative valuation multiples)

Valuation Multiples

1. Price/LTM EPS (x) : **13x-17x** (how much investors are willing to pay for each dollar of a company's past year's earnings)
2. Price/Book (x) : **1.5x - 2x** (how much investors are willing to pay for each dollar of the company's net assets)
3. Price/Tangible Book (x) : **1.5x - 3x** (more conservative measure of a company's tangible asset value)

Growth Drivers

- **Economic & demographic:** Real GDP grew 7.8% in Q1 FY26, the strongest in five quarters; GDP per capita rose from US\$ 1,958 (2017) to US\$ 2,730 (2024), a 4.92% CAGR, with 65% of the population under 35
- **Credit demand:** Outstanding bank credit crossed Rs. 200 lakh cr in Dec 2025, up 14.5% YoY on auto loans, home loans and SME lending
- **Policy support:** RBI cut the repo rate to 5.5% with a 25 bps CRR cut (Jun 2025) to release liquidity and stimulate lending
- **Financial inclusion:** PMJDY at 57.78 cr accounts (78%+ rural/semi-urban); Digital Banking Units doubling to 200 by end-FY26
- **Infrastructure financing:** NaBFID targeting ~Rs. 1,00,000 cr (US\$ 11.54 bn) of infrastructure loans by 2030
- **Digital public infrastructure:** UPI, ULI and Account Aggregator lower cost-to-serve and widen the addressable credit pool

Source: RBI, IBEF

Emerging Trends

- **Generative AI in credit:** Under EASE 8.0, seven PSBs deployed 32 gen-AI applications across appraisal, underwriting and risk (Feb 2026)
- **Digital-first lending:** Bank of Baroda and IndusInd Bank now source 85% and 77% of personal loans digitally
- **Paperless agri credit:** Digital Kisan Credit Card cuts disbursal from 4–6 weeks to under 10 minutes via ULI and DPI
- **Co-lending:** Banks partnering NBFCs and HFCs for joint origination under RBI's Co-Lending Model
- **CBDC:** RBI's retail digital rupee pilot running on blockchain rails
- **Cross-border UPI :** Live at UAE outlets via NPCI International, aligned to Dubai's 90% digital-transaction goal for 2026
- **Consolidation & privatization:** PSB privatisation remains a pending reform; Baanknet centralises PSB recovery auctions

Source: RBI, BCG, PIB

Recent Investments/M&A

- May 2025 — Sumitomo Mitsui Banking Corp acquired 20% of Yes Bank for Rs. 13,483 cr (US\$ 1.58 bn), becoming its largest shareholder
- Feb 2026 — RBI approved ICICI Prudential AMC and ICICI group entities to acquire up to 9.95% in IDFC First Bank
- Feb 2026 — RBI approved SBI Mutual Fund to acquire up to 9.99% in Bandhan Bank
- 2024 — KKR acquired a controlling stake in HDFC Credila, India's largest education-loan NBFC, for Rs. 9,444 cr (US\$ 1.1 bn)
- May 2024 — Warburg Pincus acquired 100% of Shriram Housing Finance for Rs. 4,757 cr (US\$ 554 mn)
- Sep 2024 — IDFC FIRST Bank completed its reverse merger with parent IDFC Ltd
- 2024 — IFC invested Rs. 3,434 cr (US\$ 400 mn) in Bajaj Finance; BFSI ranked #2 in Q3 2025 PE-VC flows at Rs. 11,273 cr
- Feb 2026 — RBI eased acquisition-finance rules, letting banks fund stake purchases up to 90% ownership

Unit Economics

Economics per rupee of assets (FY26E)

- Yield on advances less cost of deposits = spread → NIM ~2.9%
- Cost of deposits ~5.0% (Indian Bank 4.97%, FY26)
- Credit cost ~0.5% of advances
- Cost-income ratio in the mid-40s%
- Net result: RoA 1.1–1.2%; leverage of ~13–15x converts this to RoE in the mid-teens
- Digital origination cuts cost-to-acquire — 85% (BoB) and 77% (IndusInd) of personal loans sourced digitally

Banking

Balance Sheet (in crores)

Particulars	Mar'26	Mar'25
Liabilities		
Share Capital	1,539.34	765.22
Reserves & Surplus	579,975.02	517,218.98
Net Worth	581,514.36	517,984.20
Secured Loan	588,484.55	634,605.57
Unsecured Loan	3,099,638.29	2,710,898.23
Total Liabilities	4,269,637.20	3,863,488.00
Assets		
Gross Block	16,491.59	15,257.94
(-) Acc. Depreciation	0.00	0.00
Net Block	16,491.59	15,257.94
Capital Work in Progress	0.00	0.00
Investments	1,280,216.29	1,186,472.89
Inventories	0.00	0.00
Sundry Debtors	0.00	0.00
Cash and Bank	311,926.05	249,947.90
Loans and Advances	3,299,406.91	2,940,738.69
Total Current Assets	3,611,332.96	3,190,686.59
Current Liabilities	252,977.53	188,163.66
Provisions	0.00	0.00
Total Current Liabilities	252,977.53	188,163.66
Net Current Assets	3,358,355.43	3,002,522.93
Misc. Expenses	0.00	0.00
Total Assets (A+B+C+D+E)	4,655,063.31	4,204,253.76

(source)

Income Statement & Valuation

Particulars	Mar'26	Mar'25
Income		
Interest / Discount on Advances / Bills	239,762.46	238,444.43
Income from Investments	58,945.38	53,319.69
Interest on Balance with RBI & Inter-Bank Funds	2,674.70	2,506.31
Others	6,139.54	6,246.61
Total Interest Earned	307,522.07	300,517.04
Other Income	62,532.57	45,632.28
Total Income	370,054.63	346,149.32
Expenditure		
Interest Expended	178,836.04	177,846.95
Payments to and Provisions for Employees	26,050.15	23,900.53
Depreciation	3,657.58	3,379.47
Operating Expenses (excl. employee cost & depreciation)	42,952.59	40,894.88
Total Operating Expenses	72,660.32	68,174.88
Provision Towards Income Tax	22,823.53	19,485.15
Provision Towards Deferred Tax	-2,326.13	1,645.55
Other Provisions and Contingencies	23,389.58	11,649.43
Total Provisions and Contingencies	43,886.98	32,780.13
Total Expenditure	295,383.34	278,801.97
Net Profit for the Year	74,671.29	67,347.36
Profit / Loss Brought Forward	164,822.42	139,579.83
Total Profit Available for Appropriations	239,493.72	206,927.19
Appropriations		
Transfer To / From Statutory Reserve	18,667.82	16,836.84
Transfer To / From Capital Reserve	8,320.40	507.00
Transfer To / From Revenue and Other Reserves	0.00	0.00
Dividend and Dividend Tax for the Previous Year	16,869.41	14,826.19
Equity Share Dividend	3,836.57	0.00
Tax on Dividend	0.00	0.00
Balance Carried Over to Balance Sheet	181,332.38	164,822.42
Total Appropriations	239,493.72	206,927.19

Key Business Risks

- NIM compression from repo-linked repricing and elevated deposit costs
- Deposit mobilisation lag — CD ratio ~83%, pushing banks to costlier bulk deposits and CDs
- ECL transition — pre-emptive provisioning pulls RoA down to 1.1–1.2% in FY26
- Asset-quality pockets in unsecured retail, microfinance and small finance banks
- Disintermediation by mutual funds, bond markets and private credit
- Cyber-fraud and operational risk rising with digital transaction volumes
- Regulatory pre-emption — CRR 4.5% plus SLR 18% of deposits
- Asset-quality pockets — unsecured retail and microfinance stress; SFB GNPA rising against a falling sector trend; agri and MSME remain the largest GNPA contributors
- Disintermediation — savings shifting to mutual funds and equities; corporates moving to bonds and private credit
- Cyber & operational risk — digital fraud scales with UPI volumes; recurring KYC re-verification burden